



Time: 5 minutes

Outcome: Analyze Tacit Coordination, Price Leadership & Nonprice Competition.

Difficulty: Intermediate

Tacit Coordination, Price Leadership & Nonprice Competition

THE CORE IDEA

Tacit coordination occurs when firms align behavior without an explicit agreement, while nonprice competition uses quality, service, or advertising rather than price cuts. Advertising can shape demand in both markets. Strategic interdependence applies to quality, advertising, service, and other competitive dimensions as well as price. Tacit coordination refers to aligned behavior without the explicit agreement that defines collusion.

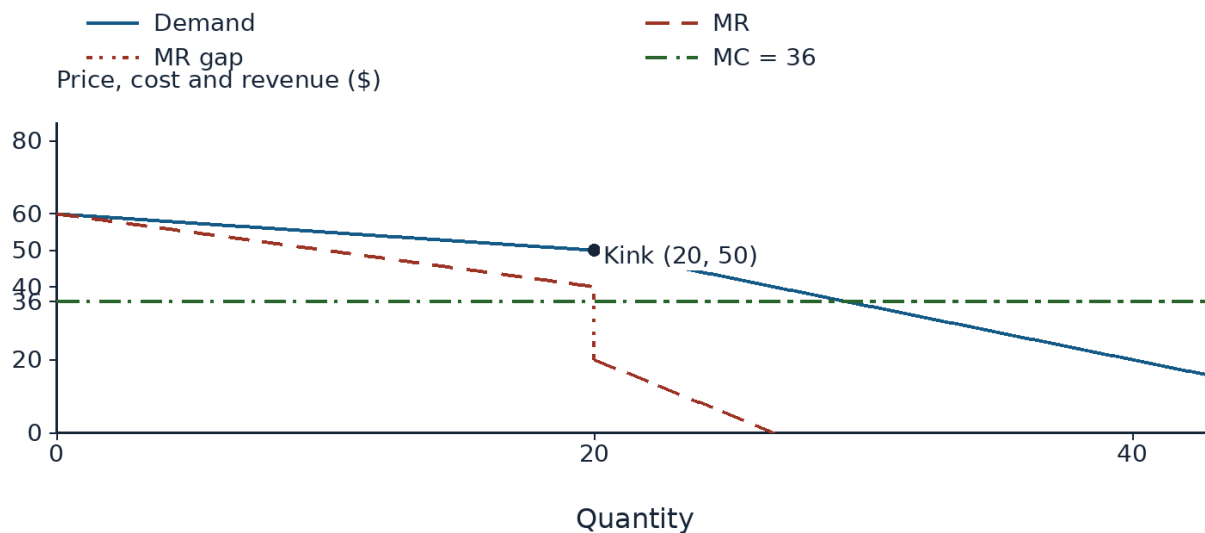
HOW TO RECOGNIZE IT

- A student has learned that oligopoly firms react strategically to price changes.
- A student says tacit coordination and explicit collusion are identical.
- Tacit coordination can arise through expectations and repeated conduct.
- A firm increases product quality rather than cutting price.

WATCH OUT

This is one simple model of price rigidity, not a claim that all oligopoly prices stay fixed. Firms can also compete through quality, service, and advertising.

WORKED EXAMPLE: AN INTRODUCTORY PRICE-RIGIDITY EXAMPLE



Demand has a kink at $Q = 20$ and $P = \$50$. Above that price, customers respond more strongly to a price increase; below it, rivals matching a cut limit the quantity gain. The corresponding MR gap runs from \$20 to \$40 at $Q = 20$. $MC = \$36$ passes through that gap, so modest cost changes within it leave this model's chosen price and quantity unchanged.

CHECK YOURSELF

Does parallel pricing prove collusion?

READY?

Return to the game and master this concept.